CASCADIA ANALYTICS

Lam Research Corp

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Peak Margins and China Concentration Meet an Extended Valuation Multiple

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Lam Research closed fiscal 2026 with historic execution, culminating in record Q4 revenue of $6.72B and an operating margin peak of 37.4%. However, the current equity valuation at $256.80 demands sustained execution well beyond historical cyclical norms, leaving no margin for normalization as working capital stretches and regional revenue concentration remains high. While calendar 2026 wafer fab equipment industry forecasts have risen to the low $150B range, the equity prices in a permanent peak multiple that conflicts with terminal capital intensity and cash conversion realities. Our probability-weighted discounted cash flow framework establishes a blended target price of $172.57, representing -32.8% upside relative to current trading levels.

HOLD	$172.57	-32.8%	$256.80
Hold, Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The market remains captivated by Lam Research's raised September guidance of $8.1B and sequential NAND doubling, pricing the franchise as though operating margins near 37% and gross margins near 52% represent an enduring structural plateau. In contrast, our quantitative model captures the inevitable mean reversion of the wafer fab equipment cycle, elevated days sales outstanding of 72 days, and the

ongoing vulnerability of a business where regional sales remain heavily anchored in China, Korea, and Taiwan.

Executive summary

Lam Research Corp occupies an entrenched position as an oligopoly leader in semiconductor etch and deposition equipment. The operational architecture balances high-margin, mission-critical systems delivery with an enduring razor-and-blade aftermarket via its Customer Support Business Group. In fiscal 2025, the corporation generated $18.4B in revenue, delivering $8.98B in gross profit, $5.90B in operating income, and $5.36B in net income. This performance translated into an operating margin of 32.0%, an ROE of 54.3%, and $5.41B in free cash flow, representing a robust 29.4% FCF margin. This established footprint provides indispensable manufacturing technology to global semiconductor fabricators across leading-edge logic, foundry, and high-density memory architectures.

The progression across fiscal 2026 demonstrated significant cyclical acceleration. The fiscal year opened in Q1 with revenue advancing 27.7% year over year to $5.32B, supported by $3.55B in systems revenue and $1.78B from customer support, while generating $1.83B in operating income. Momentum broadened in Q2 as revenue climbed 22.1% to $5.34B, with systems revenue reaching $3.36B and operating margin touching 33.9%. In Q3, revenue expanded 23.8% to $5.84B with systems contributing $3.73B, operating margin building to 35.0%, and gross margin touching 49.8%. The fiscal year concluded with a record Q4, where revenue surged 30.0% year over year to $6.72B, operating margin expanded to a peak of 37.4% on $2.51B in operating income, and non-GAAP gross margin reached approximately 52%, the highest level observed in roughly two decades.

Despite these exceptional operating metrics, underlying cash dynamics and valuation multiples warrant extreme analytical discipline. In Q4 FY2026, operating cash flow of $1.457B materially lagged reported net income of $2.28B, driven in part by days sales outstanding stretching out to 72 days from 64 days in prior periods. Furthermore, regional concentration presents persistent headline and regulatory exposure, with China accounting for 35% of revenue in Q2, 34% in Q3, and 26% in Q4, while Taiwan, China, and Korea together continue to drive the vast majority of sales. Backed by a pristine fiscal 2025 balance sheet holding $6.39B in cash, $4.48B in total debt, and a net cash position of $1.91B, solvency is beyond reproach. However, with the equity commanding a market capitalisation of $323.9B at $256.80, trading at 61.9x latest fiscal year diluted EPS, 17.5x enterprise value to revenue, and 49.4x EV to EBITDA, the current risk-reward profile is skewed heavily to the downside.

Operational snapshot

$256.80	$18.4B	$5.41B	29.4%	1.50	$256.80
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Structural and Indispensable

Lam Research's competitive advantage originates from its oligopoly dominance in critical etch and deposition equipment. In modern semiconductor fabrication, particularly within high-aspect-ratio 3D architectures, atomic-level precision is non-negotiable. Once a tool suite is qualified into an active manufacturing process line, the switching costs incurred by a fabricator to replace an incumbent etch or deposition chamber are prohibitive. Process recalibration risks severe yield degradation, production halts, and multi-month delays in commercial output. Consequently, Lam's proprietary etch chemistry controls and deposition chamber designs remain embedded across major global fabrication nodes, sustaining exceptional customer retention across successive technology transitions.

This technological lock-in reinforces an exceptionally defensive razor-and-blade model through the Customer Support Business Group. Every operational system installed across customer cleanrooms expands the captive installed base requiring specialized consumables, precision spare parts, chamber upgrades, and proprietary maintenance services. As seen in Q1 FY2026, customer support revenue provided a stable base of $1.78B alongside systems revenue of $3.55B. This recurring aftermarket revenue stream acts as a counter-cyclical shock absorber, stabilizing company-wide gross profit and generating reliable cash flows even during phases when primary capital equipment spending pauses.

Pricing power is fundamentally supported by the absolute necessity of atomic-scale process control. As memory architectures scale vertically, exemplified by the sequential doubling of NAND revenue recorded in Q4 FY2026, the physical complexity of aspect-ratio etching escalates exponentially. Customers cannot substitute alternate tooling without jeopardizing device integrity, affording Lam the ability to command premium pricing. This pricing leverage was demonstrated emphatically by non-GAAP gross margins reaching approximately 52% in Q4 FY2026, marking a two-decade peak, alongside operating margins expanding through the year from 33.9% in Q2, to 35.0% in Q3, and culminating at 37.4% in Q4.

Nonetheless, the structural strength of this moat must be contextualized against geopolitical and geographical exposure. The physical requirement for advanced semiconductor equipment concentrates customer demand among a handful of manufacturing clusters. With China representing 35% of revenue in Q2 FY2026, 34% in Q3, and 26% in Q4, and with Taiwan, China, and Korea collectively accounting for the majority of all shipments, Lam's market power

operates within an environment exposed to trade policy interventions. While customer substitution is practically unfeasible, regulatory restrictions on tool exports retain the capacity to disrupt addressable shipment volumes regardless of moat depth.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework deploys an explicit discounted cash flow model spanning fiscal 2026 through fiscal 2031, evaluated across three rigorously defined fundamental scenarios. The baseline trajectory models a compound annual revenue growth rate of 13.5% across the forecast period, building off the FY2025 revenue foundation of $18.4B. Under this base case, normalized free cash flow margins settle at 28.6% in the terminal year, slightly below the FY2025 realized level of 29.4%, reflecting capital expenditure reinvestment and working capital normalization as the cycle matures. Applying our 10.54% discount rate and a 3.0% terminal growth rate yields a base-case intrinsic value of $171.51 per share.

The bull case reflects sustained industry expansion and prolonged capital expenditure intensity, incorporating a 17.0% revenue CAGR through FY2031 and an expanded terminal FCF margin of 30.2%. This captures an environment where calendar 2026 wafer fab equipment spending accelerates beyond the low $150B range and NAND capacity expansion remains uninterrupted, producing a fair value of $219.22 per share. Conversely, our bear case models a cyclical deceleration, with revenue compounding at an 8.0% CAGR and terminal FCF margins compressing to 28.2%, generating an intrinsic valuation of $128.06 per share. Weighting these outcomes across 25% bear, 50% base, and 25% bull scenarios produces our blended fair value target of $172.57 per share, indicating that prevailing market prices trade at a substantial premium to underlying cash generation capacity.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	28.2%	$128.06	-50.1%
Base	50%	13.5%	28.6%	$171.51	-33.2%
Bull	25%	17.0%	30.2%	$219.22	-14.6%

Bear $128.06

Reflects an 8.0% revenue CAGR and terminal FCF margin compression to 28.2%, driven by working capital drag, extended days sales outstanding, and

Base $171.51

Models a 13.5% revenue CAGR and a normalized 28.6% terminal FCF margin, capturing steady wafer fab equipment spending in the low $150B range, stable

Bull $219.22

Incorporates a 17.0% revenue CAGR and an expanded 30.2% terminal FCF margin, catalyzed by sustained memory equipment demand

export policy friction impacting regional demand across China, which accounted for up to 35% of quarterly revenue in the recent operating record.

customer support utilization, and operating margins moderating from peak 37.4% levels toward historical baseline averages.

following the sequential doubling of NAND revenue and execution that exceeds elevated baseline expectations such as the $8.1B Q1 guidance guide.

Valuation framework

A live discount rate, not a static hurdle

Our quantitative model evaluates Lam Research using a dynamic weighted average cost of capital of 10.54%, anchored on a verified equity beta of 1.50 and 1.26 billion diluted shares outstanding. The elevated equity beta reflects the pronounced cyclical amplitude inherent in front-end semiconductor capital equipment spending. Because customer capital budgets swing aggressively in response to end-market memory pricing and consumer electronic demand, equity cash flows exhibit high covariance with broader macroeconomic activity, precluding the use of low, defensive hurdle rates.

Discounting cash flows at 10.54% appropriately penalizes equity duration in an environment where current valuation multiples leave zero buffer for execution missteps. At a reference spot price of $256.80, Lam trades at 61.9x its FY2025 diluted EPS of $4.15 and 49.4x FY2025 EBITDA of $6.52B. By enforcing a 10.54% WACC, our model explicitly accounts for the market pricing of capital equipment cyclicality, ensuring that distant terminal cash flows are not artificially inflated by suppressive discount assumptions.

FCF margin normalization is the engine

In fiscal 2025, Lam demonstrated superior profitability, converting $18.4B in revenue into $5.41B in free cash flow, representing an FCF margin of 29.4%. Operating margin reached 32.0%, while return on equity stood at 54.3%. Operating momentum extended into fiscal 2026, as operating income expanded from $1.83B in Q1, to $1.81B in Q2, $2.05B in Q3, and reached $2.51B in Q4, driving operating margin to a peak of 37.4%. Gross margin expanded simultaneously, reaching 49.8% in Q3 and touching roughly 52% in Q4.

However, free cash flow conversion faces cyclical headwinds from balance sheet friction. In Q4 FY2026, operating cash flow of $1.457B trailed net income of $2.28B, as days sales outstanding expanded to 72 days from 64 days. Our valuation engine models normalized terminal FCF margins bridging

from 28.2% in the bear case to 28.6% in the base case and 30.2% in the bull case. These inputs acknowledge that while gross margins near 52% reflect exceptional current pricing power, working capital investments and the capital intensity required to support next-generation etch and deposition tool suites inevitably moderate ongoing cash generation toward sustainable long-term bounds.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2031**
Live WACC	**10.54% (2026-10-29)**
Terminal growth	**3.0%**
Equity beta	**1.50**
Diluted shares	**1.26 billion**

HOLD

over $172.57 blended target

Competitive moat and concentration risk

We rate the moat as Wide and we view the market structure as Oligopoly (3 names at sub-5nm) in etch/deposition. We assign a premium of +28% to sector median multiples on moat strength alone.

- process-qualification switching costs, displacing etch equipment requires re-qualifying entire manufacturing processes (CrowsEye, 2026), which is why the ~45% etch share is sticky.
- gross margin holding at 47% as of Q1 2026, in line with long-term targets (2026 coverage, Q1 2026); Q3 FY2025 (quarter ended 28 Sep 2025) revenue $5.32bn with 35.0% non-GAAP operating income (AInvest, 2025). Margins held through the cycle's up-leg while selling to every leading AI chip producer, the pick-and-shovel position, not a single-design bet.
- The weakest element is cyclicality + geopolitics, semiconductor capex growth forecast to slow to 7% in 2027 from 28% in 2026, and ~12% of 2025 revenue came from Chinese customers including SMIC, with export-control risk to up to ~9% of projected 2027 revenue per Cowen estimates cited in 2026 coverage. Overall wafer-front-end share fell from 17.1% (2017) to 9.9% (2024) (AInvest, 2025), leadership is in etch/deposition subsegments, not the whole equipment market.

On a multiple cross-check, the justified range is EV/EBITDA 18.2-20.5×; P/E 22.9-25.8×. The cross-check value is $81.98 pt ($76.94-$86.69), on a base of $3.36 median GAAP basic EPS, FY2021-FY2025. The gap verdict is COLLAPSES, not at all (below Base $153.50).

This figure uses the normalized base from the October 27 recheck, not the original boom-year base.

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	4 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	8 points
platform, channel, or distribution dependency	0 points
customer insourcing risk	1 points
regulatory single point risk	8 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 26 percent. Shown side by side with the moat premium or discount, the net stance is +8 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Semiconductor Systems and Customer Support Services HOLD

Lam Research's primary commercial engine resides in its semiconductor systems business, delivering proprietary etch and deposition equipment directly to chipmakers. Systems revenue demonstrated rapid expansion throughout fiscal 2026, progressing from $3.55B in Q1 to

$3.36B in Q2, accelerating to $3.73B in Q3, and driving the Q4 record revenue print of $6.72B. Equipment demand has been propelled by a sharp inflection in memory spending, highlighted by NAND revenue doubling sequentially in the fourth fiscal quarter. Furthermore, management's upward revision of the calendar 2026 wafer fab equipment spending outlook to the low $150B range from prior expectations of $140B confirms a robust near-term capital expenditure environment across primary fabrication accounts.

Complementing equipment shipments is the Customer Support Business Group, operating on a high-margin razor-and-blade model. In Q1 FY2026, customer support contributed $1.78B, representing roughly one-third of aggregate quarterly revenue. While customer support grows at a slower pace than new equipment systems during cyclical upturns, it provides critical baseline earnings stability during cyclical downturns. Every new etch and deposition system deployed into the field expands the total installed base, driving long-term service contracts, chamber maintenance routines, and consumable parts consumption.

The geographic architecture of demand remains heavily weighted toward Asian fabrication hubs. Taiwan, China, and Korea collectively generate the vast majority of consolidated company revenue. China represented a particularly substantial share of business across fiscal 2026, accounting for 35% of revenue in Q2, 34% in Q3, and 26% in Q4. While this geographic footprint reflects the global concentration of foundry and memory fabrication facilities, it leaves commercial shipments exposed to regional capital expenditure adjustments and international trade policy dynamics.

Forward operational momentum appears exceptionally robust in the near term, as evidenced by September-quarter guidance projecting revenue of $8.1B plus or minus $400M, a forecast sitting approximately $1B above prevailing market consensus. This follows a fiscal year of consistent guidance execution, including Q2 guidance of $5.70B being surpassed by Q3 actual revenue of $5.84B, and Q3 guidance of $6.60B being exceeded by Q4 actual revenue of $6.72B. Nevertheless, because current equity prices already reflect these elevated operational baselines, any prospective moderation in wafer fab equipment expansion threatens to compress multiples rapidly.

What to monitor

- **Wafer Fab Equipment Spending Plateau** Track whether calendar 2026 industry capital expenditure sustains in the low $150B range or faces retrenchment following the initial surge.
- **China Regional Revenue Mix** Monitor the proportion of sales generated from China following quarterly concentrations of 35% in Q2, 34% in Q3, and 26% in Q4.
- **Working Capital and Cash Conversion** Scrutinize whether days sales outstanding normalize from 72 days and whether operating cash flow realigns with reported net income.
- **Customer Support Business Trajectory** Assess whether Customer Support Business Group revenues keep pace with systems shipments to preserve blended corporate margins.

+23.7%	48.7%	32.0%	29.4%	$1.91B	54.3%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$18.4B
Gross Profit	$8.98B
EBIT	$5.90B
Net Income	$5.36B
EBITDA	$6.52B
Free Cash Flow	$5.41B
Diluted EPS	$4.15
ROE	54.3%

Risk & moat matrix

The bear case

SHARE EROSION

Competitor advancements in high-aspect-ratio etch and selective deposition could contest Lam's oligopoly positions across advanced memory manufacturing lines. Any customer dual-sourcing

M&A DIGESTION

Integrating complex external process technologies or bolt-on equipment designs poses risks of engineering disruption and operational friction. Misallocated capital expenditures

REGULATORY AND PRICING SCRUTINY

With China generating between 26% and 35% of quarterly revenue in fiscal 2026, evolving cross-border export restrictions present persistent top-line vulnerability. Unilateral regulatory

TECHNOLOGY DISRUPTION

Unanticipated transitions in semiconductor device architectures could reduce the chamber count required for vertical memory scaling. If etch step counts decline during node transitions, systems revenue expansion

REINVESTMENT TREADMILL

Sustaining technological leadership demands continuous capital deployment into next-generation cleanroom tooling and precision manufacturing assets. This relentless reinvestment requirement directly caps normalized

WACC AND DURATION SENSITIVITY

At a market capitalisation of $323.9B and an equity beta of 1.50, the shares are highly sensitive to discount rate adjustments. Even modest macroeconomic shocks applied to our 10.54% WACC severely compress the present value

initiatives would compress gross margins from their current historical peak near 52%.

can impair returns on equity from the exceptional 54.3% reported in fiscal 2025.

changes could abruptly curtail tool shipments to prominent Asian fabrication facilities.

would face severe decelerations.

terminal free cash flow margins within our 28.2% to 30.2% modeled corridor.

of terminal cash flows.

The strengths

OLIGOPOLY POSITION

Lam retains an entrenched competitive position alongside a tight cohort of peers in critical etch and deposition equipment. Deep technical lock-in prevents customer defection, sustaining gross margins that expanded to 51.7% in Q4 FY2026.

FCF COMPOUNDING

The enterprise generated $5.41B in free cash flow on $18.4B in revenue in fiscal 2025, demonstrating elite cash generation capability. This cash flow engine is insulated by recurring aftermarket contributions from the Customer Support Business Group.

GEOGRAPHIC DURABILITY

Extensive installation across Tier 1 foundries and memory fabricators throughout Taiwan, Korea, and China ensures participation in major global capital expenditure programs. This global reach supported full-year revenue growth of 23.7% in fiscal 2025.

PIPELINE OPTIONALITY

Customer qualification of new chamber architectures creates long product lifecycles and stable upgrade revenues. Sequential doubling of NAND equipment revenue in Q4 FY2026 confirms strong leverage to next-generation device inflections.

The bottom line on risk and reward

Lam Research represents an operationally exceptional enterprise trading at an unsustainable cyclical premium. The operational delivery across fiscal 2026 has been impeccable, highlighted by record fourth-quarter revenue of $6.72B, operating margins expanding to 37.4%, and September-quarter revenue guidance of $8.1B resetting expectations approximately $1B above consensus. However, trading at $256.80, the market has extrapolated peak gross margins near 52% and cyclical memory inflections indefinitely into the future, ignoring structural working capital expansions that pushed days sales outstanding to 72 days.

Our quantitative assessment reinforces that current market pricing leaves no margin of safety. Trading at 61.9x latest fiscal year diluted EPS, 17.6x market cap to revenue, and 49.4x EV to EBITDA, the stock is acutely vulnerable to any normalization in wafer fab equipment spending or geopolitical friction affecting shipments across Taiwan, Korea, and China. Solvency remains flawless with $1.91B in net cash, but capital safety cannot compensate for multiple compression from historically stretched valuation levels.

Consequently, we reiterate our rating of Hold, Valuation Concerns. Across our probability-weighted discounted cash flow framework, which weights a bear outcome of $128.06 at 25%, a base outcome of $171.51 at 50%, and a bull outcome of $219.22 at 25%, we establish a blended intrinsic target price of $172.57. This implies -32.8% upside relative to the reference spot price of $256.80. We advise institutional investors to await a more compelling cyclical entry point that appropriately discounts balance sheet working capital friction and long-term reinvestment demands.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Etch and Deposition Systems: The Front-End Process Architecture

Lam Research's core franchise is defined by its leadership in semiconductor etch and deposition systems, which operate in tandem with the Customer Support Business Group. In advanced semiconductor manufacturing, deposition and etch represent complementary, repeating steps required to construct complex nanoscale circuitry. Deposition tools apply microscopic thin films of conductive or insulating materials onto silicon wafers, while etch equipment selectively removes materials with atomic precision to carve microscopic gates, trenches, and contact holes. As vertical scaling intensifies, the number of sequential deposition and etch iterations multiplies, reinforcing Lam's market indispensability.

The financial power of this franchise is illustrated by the steady acceleration of systems shipments throughout fiscal 2026. Systems revenue advanced from $3.55B in Q1 to $3.36B in Q2, grew to $3.73B in Q3, and powered the record Q4 revenue performance of $6.72B. The critical role of high-aspect-ratio etching was underscored in Q4 FY2026, where a sequential doubling of NAND equipment revenue drove non-GAAP gross margins to roughly 52%, representing a twenty-year operational high. These tools require sophisticated plasma controls and proprietary chamber configurations, creating immense switching barriers once integrated into production lines.

Surrounding this capital equipment is the Customer Support Business Group, which establishes a durable razor-and-blade commercial structure. In Q1 FY2026, customer support delivered $1.78B in revenue. While this business grows at a lower rate than front-end systems during periods of aggressive fab expansions, it generates resilient, high-margin cash flow throughout cyclical contractions. Fabricators must continuously replace consumable chamber components, refurbish high-wear parts, and implement productivity-enhancing upgrades across their active tool fleets. This installed base dynamics ensures that Lam extracts cash from customer wafers long after initial equipment tool installation is completed.

What the recent record shows

- Record Q4 FY2026 revenue of $6.72B, up 30.0% year over year, driven by a sequential doubling of NAND systems revenue and operating margins reaching 37.4%.
- Exceptional forward guidance for the September quarter of $8.1B plus or minus $400M, exceeding consensus estimates by roughly $1B alongside an elevated 2026 wafer fab equipment industry outlook in the low $150B range.
- Consistently high regional exposure to Asian fabrication markets, with China representing 35% of sales in Q2 FY2026, 34% in Q3, and 26% in Q4, while Taiwan, China, and Korea collectively drove the majority of revenue.
- Expanding working capital requirements in Q4 FY2026, evidenced by days sales outstanding climbing to 72 days from 64 days, causing operating cash flow of $1.457B to trail net income of $2.28B.

Our read: Lam Research remains an elite, irreplaceable technology leader within semiconductor manufacturing, but equity valuation has fully decoupled from underlying cash flow generation. With the shares priced at 61.9x FY2025 earnings and carrying a blended target of $172.57, representing -32.8% upside, valuation concerns dictate a disciplined Hold stance.